

**SUBSTITUTE FOR
SENATE BILL NO. 198**

A bill to regulate data collection by motor vehicle dealers, manufacturers, and third parties; to prescribe requirements for the collection, sharing, and use of protected dealer data; and to regulate dealer data vendors and authorized integrators.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. This act may be cited as the "motor vehicle dealer
2 data collection act".

3 Sec. 3. As used in this act:

4 (a) "Authorized integrator" means a third party that a dealer
5 enters into a contractual relationship with to perform a specific
6 function for the dealer that allows the third party to access
7 protected dealer data or to write data to a dealer data system, or
8 both, to carry out the specified function.



1 (b) "Consumer data" means nonpublic personal information as
2 that term is defined in 15 USC 6809.

3 (c) "Cyber ransom" means to encrypt, restrict, or prohibit or
4 threaten or attempt to encrypt, restrict, or prohibit a dealer's or
5 an authorized integrator's access to protected dealer data to
6 obtain payment not agreed to by the dealer or the authorized
7 integrator in a written contract for services or goods.

8 (d) "Dealer" means that term as defined in section 11 of the
9 Michigan vehicle code, 1949 PA 300, MCL 257.11.

10 (e) "Dealer data system" means a software, hardware, or
11 firmware system that is owned, leased, or licensed from a third
12 party by a dealer and includes a system of web-based applications,
13 computer software, or computer hardware, located at the motor
14 vehicle dealership or a remote location, that stores or provides
15 access to protected dealer data including, but not limited to,
16 dealership management systems and consumer relations management
17 systems.

18 (f) "Dealer data vendor" means a third-party dealer management
19 system provider, third-party consumer relationship management
20 system provider, or other third-party vendor providing similar
21 services that permissibly stores protected dealer data under a
22 contract with the dealer.

23 (g) "Fee" means a charge for access to protected dealer data
24 beyond any direct costs incurred by the dealer data vendor in
25 providing protected dealer data access to an authorized integrator
26 or allowing an authorized integrator to write data to a dealer data
27 system.

28 (h) "Manufacturer" means that term as defined in section 28 of
29 the Michigan vehicle code, 1949 PA 300, MCL 257.28.



1 (i) "Motor vehicle" means that term as defined in section 33
2 of the Michigan vehicle code, 1949 PA 300, MCL 257.33. Motor
3 vehicle does not include a bus, tractor, or farm equipment.

4 (j) "Person" means an individual or a partnership,
5 corporation, limited liability company, association, or other legal
6 entity.

7 (k) "Prior express written consent" means consent from a
8 dealer contained in a document that is separate from any other
9 consent, contract, franchise agreement, or other writing that
10 contains both of the following:

11 (i) The dealer's express consent to the data sharing and
12 reasonable identification of the parties with whom the data may be
13 shared.

14 (ii) All details required by the dealer relating to the scope
15 and nature of the data to be shared, including the data fields and
16 the duration for which the sharing is authorized.

17 (l) "Protected dealer data" means, except as otherwise provided
18 in subdivision (m), any of the following types of data:

19 (i) Personal, financial, or other data relating to a consumer
20 that a consumer provides to a dealer or that a dealer otherwise
21 obtains and that is stored in the dealer's dealer data system.

22 (ii) Motor vehicle diagnostic data that is stored in a dealer
23 data system.

24 (iii) Other data regarding a dealer's business operations that
25 is stored in the dealer data system.

26 (m) Protected dealer data does not include data that is
27 otherwise publicly available or that a manufacturer or third party
28 obtains through another source.

29 (n) "Required manufacturer data" means, except as otherwise



provided in subdivision (o), any of the following types of data:

(i) Data that is required to be obtained by the manufacturer under federal or state law.

(ii) Data that is required to complete or verify a transaction between the dealer and the manufacturer.

(iii) Motor vehicle diagnostic data.

(iv) Data that is reasonably necessary, and used in compliance with the motor vehicle franchise act, 1981 PA 118, MCL 445.1561 to 445.1583, to do any of the following:

(A) To satisfy a safety, recall, or other legal notice obligation.

(B) To process and complete the sale and delivery of a new motor vehicle or a certified used motor vehicle to a consumer.

(C) To validate and pay a consumer or dealer incentive.

(D) For a claim for dealer-supplied services relating to warranty parts or repairs.

(E) To evaluate a dealer's performance, including, but not limited to, a dealer's monthly financial statements, sales, service, or consumer satisfaction with the dealer through direct consumer contact or consumer surveys.

(F) For dealer market analytics.

(G) To identify the dealer that sold or leased a specific motor vehicle and the date of the transaction.

(H) For marketing purposes designed for the benefit of or to direct leads to dealers.

(I) To develop, evaluate, or improve the manufacturer's products or services.

(o) Required manufacturer data does not include consumer data on a consumer credit application or a dealer's notes about a



1 consumer that are not related to a transaction.

2 (p) "Star standards" means the current applicable security
3 standards published by the Standards for Technology in Automotive
4 Retail.

5 (q) "Third party" means a service provider, vendor, dealer
6 data vendor, authorized integrator, or any person other than a
7 dealer, a government entity acting under federal, state, or local
8 law, an entity acting in accordance with a valid court order, a
9 manufacturer, or an affiliate thereof.

10 Sec. 5. (1) A manufacturer or a third party shall not require
11 a dealer to grant the manufacturer, the third party, or any person
12 acting on behalf of the manufacturer or third party, direct or
13 indirect access to the dealer's dealer data system.

14 (2) A dealer may submit or push data or information to a
15 manufacturer or third party through a widely acceptable electronic
16 file format or protocol that complies with star standards or other
17 generally accepted cybersecurity standards that are at least as
18 comprehensive as star standards.

19 Sec. 7. (1) A third party shall not do any of the following:

20 (a) Access, share, sell, copy, use, or transmit protected
21 dealer data without prior express written consent.

22 (b) Engage in an act of cyber ransom.

23 (c) Take an action by contract, technical means, or any other
24 means to prohibit or limit a dealer's ability to protect, store,
25 copy, share, or use protected dealer data, including, but not
26 limited to, any of the following actions:

27 (i) Imposing a fee or other restriction on a dealer or an
28 authorized integrator for accessing or sharing protected dealer
29 data or for writing data to a dealer data system, including a fee



1 on a dealer that submits or pushes data or information to a third
2 party under section 5. A charge is considered a fee under this
3 subparagraph unless a third party discloses the charge to the
4 dealer and justifies the charge by documentation of the costs
5 associated with access and, on written request by the dealer,
6 provides the dealer with documentation that the charges were agreed
7 to in writing by the dealer or provided for in the contract for
8 service or goods.

9 (ii) Prohibiting a third party that is compliant with star
10 standards or other generally accepted cybersecurity standards that
11 are at least as comprehensive as star standards and that the dealer
12 has identified as an authorized integrator from integrating into
13 the dealer's dealer data system.

14 (iii) Placing an unreasonable restriction on integration by an
15 authorized integrator or a third party that the dealer wishes to be
16 an authorized integrator.

17 (d) Access or permit access to protected dealer data without
18 prior express written consent.

19 (2) An unreasonable restriction under subsection (1) (c) (iii)
20 includes all of the following:

21 (a) An unreasonable limitation or condition on the scope or
22 nature of the protected dealer data that is shared with an
23 authorized integrator.

24 (b) An unreasonable limitation or condition on the ability of
25 the authorized integrator to write data to a dealer data system.

26 (c) An unreasonable limitation or condition on a third party
27 that accesses or shares protected dealer data or that writes data
28 to a dealer system.

29 (d) A requirement of unreasonable access to sensitive,



1 competitive, or other confidential business information of a third
2 party as a condition for access to protected dealer data or sharing
3 protected dealer data with an authorized integrator.

4 Sec. 9. (1) Prior express written consent given under this act
5 may be unilaterally revoked or amended by a dealer without cause
6 with a 60-day notice or immediately for cause.

7 (2) Prior express written consent must not be a condition of
8 or factor for consideration or eligibility for any manufacturer
9 program, standard, or policy, including one that offers a bonus,
10 incentive, rebate, or other payment or benefit to a dealer.

11 (3) This section does not require a manufacturer to pay a
12 benefit to a dealer if the dealer refuses to provide data that is
13 reasonably necessary to participate in a bonus, incentive, rebate,
14 or other program.

15 Sec. 11. (1) A manufacturer shall not access, share, sell,
16 copy, use, transmit, or require a dealer to share or provide access
17 to protected dealer data beyond the required manufacturer data
18 without prior express written consent.

19 (2) A manufacturer may charge a dealer the manufacturer's
20 actual third-party costs for providing access to protected dealer
21 data to a dealer, authorized integrator, or other third party if
22 the manufacturer does both of the following:

23 (a) Discloses the charge to the dealer in writing.

24 (b) On written request by the dealer, provides to the dealer
25 documentation that the charges were agreed to in writing by the
26 dealer or provided for in the contract for services or goods.

27 (3) A manufacturer and a third party shall not engage in an
28 act of cyber ransom or take an action by contract, technical means,
29 or any other means to prohibit or limit a dealer's ability to



1 protect, store, copy, share, or use protected dealer data.

2 (4) A manufacturer or a manufacturer's selected third party
3 shall not require a dealer to pay an unreasonable fee for sharing
4 required manufacturer data if all of the following apply:

5 (a) The manufacturer requires the dealer to provide the
6 required manufacturer data through a specific third party that the
7 manufacturer selects.

8 (b) The required manufacturer data is in a format that is
9 compatible with the file format required by the manufacturer.

10 (c) The third-party vendor satisfies or is in compliance with
11 the star standards or other generally accepted cybersecurity
12 standards that are at least as comprehensive as the star standards.

13 (5) Unless otherwise provided in this section or section 21,
14 this act does not restrict or limit a manufacturer's right to
15 obtain, use, or control required manufacturer data or use or
16 control data that is proprietary to the manufacturer, created by
17 the manufacturer, obtained from a source other than the dealer, or
18 that is public information.

19 Sec. 13. (1) A manufacturer, authorized integrator, or other
20 third party shall indemnify a dealer for any claims or damages if
21 the claims or damages result from a violation of this section for
22 accessing, providing access to, using, or disclosing protected
23 dealer data, and any of the following apply:

24 (a) The claims or damages directly result from a violation of
25 this section by the third party from whom the dealer is seeking
26 indemnification.

27 (b) The claims or damages directly result from a violation of
28 this section by a vendor or contractor as an agent acting on behalf
29 of the third party from whom the dealer is seeking indemnification.



1 (c) The claims or damages directly result from a violation of
2 this section by a vendor or other service provider that the third
3 party from whom the dealer is seeking indemnification required the
4 dealer to use.

5 (2) A dealer bringing a cause of action against a
6 manufacturer, authorized integrator, or other third party for a
7 violation of this section has the burden of proof.

8 Sec. 15. (1) A dealer data vendor shall adopt and make
9 available a standardized framework for both of the following:

10 (a) The exchange, integration, and sharing of protected dealer
11 data from a dealer data system with an authorized integrator.

12 (b) The retrieval of protected dealer data by an authorized
13 integrator using star standards or a standard that is compatible
14 with star standards.

15 (2) A dealer data vendor shall provide access to open
16 application programming interfaces to an authorized integrator.

17 (3) If the application program interfaces under subsection (2)
18 are not the reasonable commercial or technical standard for secure
19 data integration, the dealer data vendor may provide a similar open
20 access integration method if that method provides the same or
21 better access as an application programming interface and that
22 method uses the required standardized framework.

23 Sec. 17. (1) A dealer data vendor or an authorized integrator
24 may access, use, store, or share protected dealer data or any other
25 data from a dealer data system only to the extent allowed in a
26 written agreement between the dealer data vendor or authorized
27 integrator and the dealer.

28 (2) An agreement regarding access to, sharing or selling of,
29 copying, using, or transmitting protected dealer data must be



1 terminable not more than 90 days after a dealer data vendor or
2 authorized integrator receives notice from the dealer.

3 (3) On notice of the dealer's intent to terminate the
4 agreement under subsection (2), a dealer data vendor or an
5 authorized integrator shall ensure a secure transition of all
6 protected dealer data to a successor dealer data vendor or
7 authorized integrator by doing both of the following:

8 (a) Providing access to, or an electronic copy of, all
9 protected dealer data and all other data stored in the dealer data
10 system in a commercially reasonable time and format that a
11 successor dealer data vendor or authorized integrator can access
12 and use.

13 (b) Deleting or returning all protected dealer data to the
14 dealer before the termination of the agreement in accordance with
15 any written directions of the dealer.

16 (4) On request by a dealer, a dealer data vendor or an
17 authorized integrator must provide the dealer with a list of any
18 entity the dealer data vendor or authorized integrator is sharing
19 protected dealer data with or any entity to whom the dealer data
20 vendor or authorized integrator has allowed access to protected
21 dealer data.

22 (5) A dealer data vendor or an authorized integrator shall
23 allow a dealer to audit the dealer data vendor's or authorized
24 integrator's access to and use of any protected dealer data.

25 Sec. 21. This act does not do any of the following:

26 (a) Govern, restrict, or apply to data that exists outside of
27 a dealer data system, including data that is generated by a motor
28 vehicle or by a device that a consumer connects to a motor vehicle.

29 (b) Authorize a dealer or a third party to use data that is



1 obtained from a person in a manner inconsistent with an agreement
2 with that person or with the purposes for which that person
3 provided the data to the dealer or third party.

4 (c) Prevent a dealer, manufacturer, or third party from
5 discharging the obligations of the dealer, manufacturer, or third
6 party as a service provider, an obligation under federal or state
7 law to protect and secure protected dealer data, or otherwise limit
8 those responsibilities.

9 (d) Grant a dealer ownership of motor vehicle diagnostic data
10 or rights to share or use motor vehicle diagnostic data except as
11 necessary to fulfill the dealer's obligation to provide warranty,
12 repair, or service to a consumer.